

reducing greenhouse gas emissions and adapting to climate change under the UNFCCC in August 2022. It now plans to reduce the emission intensity of its GDP by 45% till 2030 from 2005 level (as against the previous target of 33-35%) and achieve about 50% (versus the earlier goal of 40%) cumulative electric power installed capacity from non-fossil fuel-based resources by 2030.

But the road ahead is challenging. As per various estimates, to meet these targets, the country would need investments of \$10-12 trillion across several sectors ranging from energy and infrastructure to industry and mobility. India will also need to balance the needs that the goal of becoming developed by 2047 will require. As per a recent finance ministry document, the minimum per capita final energy India will require to become a developed country with an HDI of 0.9 would be 45.7-75 gigajoules per year, as against 16.7 gigajoules in FY23.

Over the years, the government has launched several programmes with a focus on these sectors. India has also been at the forefront of global climate action and has helped set up and participated in initiatives like the International Solar Alliance and the Global Biofuels Alliance.

So far, India has largely relied on budgetary outlays and private investments along with some aid from multilateral institutions. Jha of BDO says India has received about \$1.16 billion from the US towards various green finance initiatives. "While this support contributes to meeting the country's broader financing needs, its scale remains relatively modest and is unlikely to materially impact or hinder the overall trajectory of India's decarbonisation efforts," he says.

A NEW OUTLOOK

Just like in trade, where India is working on new alliances and deals amidst the uncertainty on US tariffs, in climate finance, too, it may have to look for new partners such as the European Union. It will also have to build on its own funding capabilities such as sovereign green bonds and take forward the proposed climate finance taxonomy.

Roy of ORF says India must adopt a multi-pronged financing strategy that does not hinge on a single bilateral partner. First, there is significant scope to deepen the domestic green finance ecosystem, and India must continue to position itself as a preferred destination for blended finance, combining public concessional funds with private capital. "Pro-

THE TARGETS

- 1 India's per capita GHG emissions were about 2.9 tCO₂e in 2023, significantly lower than the world average of 6.7 tCO₂e
- 2 India's updated Nationally Determined Contribution (NDC) submitted in August 2022 aims to:
a. Reduce emission intensity of GDP by 45% till 2030 from 2005 levels
b. Increase the share of non-fossil fuel-based energy capacity to 50% by 2030
- 3 India requires an estimated \$2.5 trillion (at 2014-15 prices) by 2030 to meet its NDC targets

grammes such as the World Bank's Scaling Solar and ADB's investments in Indian renewables have shown that with adequate risk mitigation, large-scale green investments are viable," Roy says, adding that viability gap funding schemes can also unlock long-term capital.

The finance ministry also recently came out with the draft framework of the climate finance taxonomy that would enhance the availability of capital for climate adaptation and mitigation. Jha of BDO is quite optimistic. "It will have a positive impact on the sector as it aims for direct investments in hard-to-abate sectors such as iron and steel, cement and fertiliser in transitioning to low-emission pathways," he says.

Despite the US' current stance, sustainability will remain a key goal for most countries in the backdrop of evident climate change with record temperature spikes, hurricanes, tornadoes and untimely and erratic rains. Further, with the carbon border adjustment tax likely to be imposed by the EU and the UK over the next few years, Indian companies are already working to cut down their emissions and meet the new norms.

India is finding its own path to going green. **BT**

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